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“The comfort has to be given by the government—perhaps the RBI—that if you do restructure, which is within the commercial framework, and commercially justifiable, nobody is going to question the commercial wisdom of officers who have signed on to it. If that is done, then perhaps there is some kind of hope for pre-packs”



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“While we advocate for the rights of operational creditors, it is important to conduct a study to determine how many trade creditors have actually gone bankrupt due to the successful insolvency resolution of corporations. Making changes to the law based on apprehensions would not be prudent”

Strong Decision-makers

Under IBC, the CoC is the highest decision-making body. A recent apex court judgement says the NCLT cannot apply the commercial mind of the CoC. “It [the CoC] should set the highest levels of standards in conduct and performance,” says EY India’s Diwanji. But financial creditors heading the CoC often take a long time to take a call on a resolution plan. For instance, Reliance Capital’s bidding war. In December 2022, Torrent Group emerged as the highest bidder by offering ₹8,640 crore. But the CoC later decided to conduct another bidding round, in which a Hinduja Group entity emerged as the highest bidder. The matter is before the apex court as Torrent

has challenged the second bidding process. “The bank’s [financial creditor] approach is not rule-based, but on a case-by-case basis,” says an RP.

Plus, there are challenges associated with bidding from promoters as well as competing bidders. “Valuations of such assets need to be adequately insulated from their erstwhile promoters and owners, who at times use proxies to either derail the bidding process or jack up the valuations,” says Mehta of Dhruve Liladhar.

The Insolvency Law Academy, an independent institution dedicated to insolvency, has proposed a comprehensive code of conduct for the CoC that includes the role and duties of financial creditors. (See box *Conducting the Code*) At times, a minority creditor among secured lenders gets a raw deal. “There is still some ambiguity regarding the priority of secured lenders. The waterfall mechanism isn’t clearly spelt out. This lack of clarity extends even to the liquidation stage. These need to be sorted out; otherwise, secured and unsecured lenders would become equal, which would impact lending by banks, etc.,” says Bansal of Edelweiss ARC. The waterfall mechanism defines the priority of payment in case of liquidation, where secured lenders are paid first, then wages are paid, followed by unsecured lenders, and finally, government dues are paid.

Time, Time, Time

The IBC, as it stands, is gradually maturing. Let us look at how things panned out in the UK. “We are now over 35 years since our Insolvency Act came out, and we still have cases going through the courts about the interpretation of certain key provisions here in the UK,” says Kitchlu-Connolly of TL’s India Group. “The Supreme Court has passed several orders and set new precedents. Now the legislature has to decide what amendment or modification they want to do,” says Mehta of Dhruve Liladhar. “We must now focus on enhancing governance and transparency within banks and reducing delays in court proceedings,” says Gupta of SNG. Some experts, like Misha, also point to the tribunalisation of the judiciary. The appeals first move to the NCLAT and then go to the Supreme Court. But where do Supreme Court judges come from? They come from the high courts, where they have not dealt with IBC cases, say experts.

The IBC is one of the biggest reforms in the financial sector. “It was aimed at promoting bond markets and attracting foreign investments, including foreign funds lending to Indian companies,” says Misha. But its current form is likely to scare away potential investors and lenders. Just like in Bollywood, where it’s all about entertainment, entertainment, and entertainment, a seasoned lawyer draws an analogy to say that under the IBC, it’s all about time, time, and time. And it’s time to act now. **BT**

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